

Supply pressures resurface

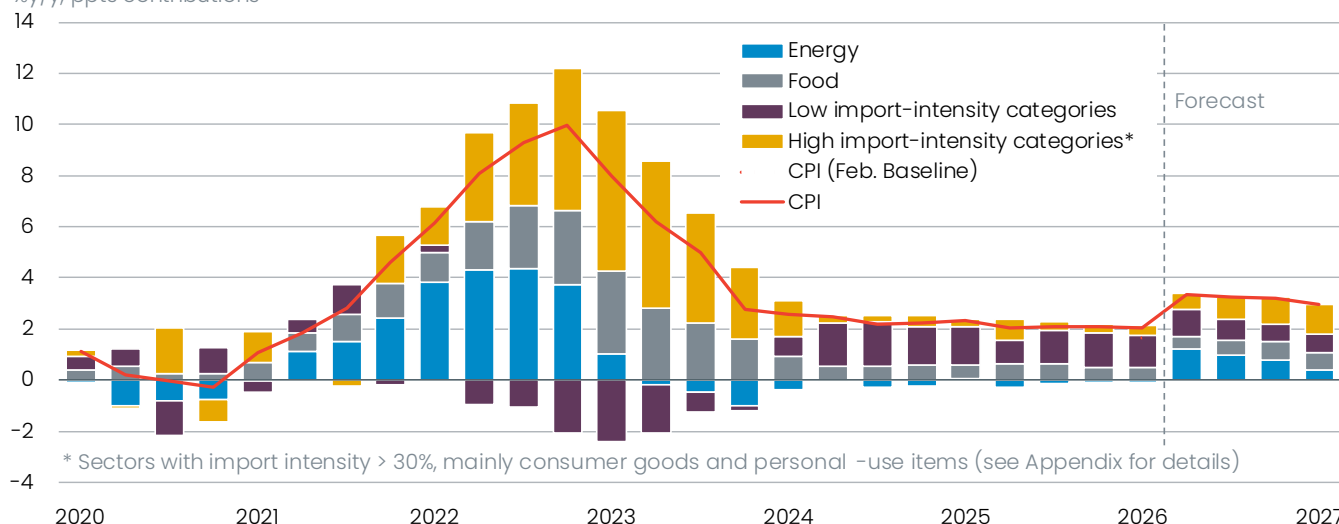
- We expect the Iran war-induced supply shock to exert increasing upward pressure on underlying inflation as rising import prices and supply chain stress feed through. We estimate the rise in import-intensive prices could lift headline inflation by 0.7ppts to 3% this year – a much smaller increase than the 3.6ppts in 2022.
- We estimate that inflation in import-intensive consumer goods has averaged 0.4% over the past six months and is set to accelerate to an average of 0.9% over the remainder of this year. That would mark the fastest pace since early 2024, underpinning our forecast of rising core inflation through the year.
- A range of leading indicators corroborate this. Commodity prices have surged, inflation expectations have risen sharply, and higher input costs are already feeding into producer prices. Demand destruction won't be sufficient to dampen price pressures as firms have little space to absorb rising prices in margins.
- We expect Eurozone inflation to average 2.9% this year as the supply shock feeds through. Our measure of imported inflation supports our view that the ECB won't look through the temporary surge in energy prices. We anticipate two rate hikes in June and July to keep inflation expectations anchored and stem second-round effects. A resolution of the conflict would tilt the balance of risks towards fewer hikes.
- A silver lining is that the shock is arriving against a relatively benign backdrop of soft supply pressures pre-war. Subdued consumer demand, particularly for goods, will also dampen the scale of passthrough.

Supply-side [worries have resurfaced](#), turning the previously benign inflation outlook on its head ([Chart 1](#)). The US-Israel war with Iran has upended a period of moderating inflation driven by falling energy prices, a stronger euro, and rerouting trade flows. Rising input costs, higher inflation expectations, and rising supply chain stress signal stronger inflationary pressures ahead. Our modelling suggests that inflation in import-intensive goods will pick up after a period of subdued price pressures, adding to the upward push from energy and food prices.

Chart 1: Contribution of high import-intensity sectors to headline inflation is set to rise

Eurozone: Inflation decomposition

%y/y, ppts contributions



Sources: Oxford Economics, Haver Analytics

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Import-intensive consumption categories will see accelerating inflation due to global energy shock

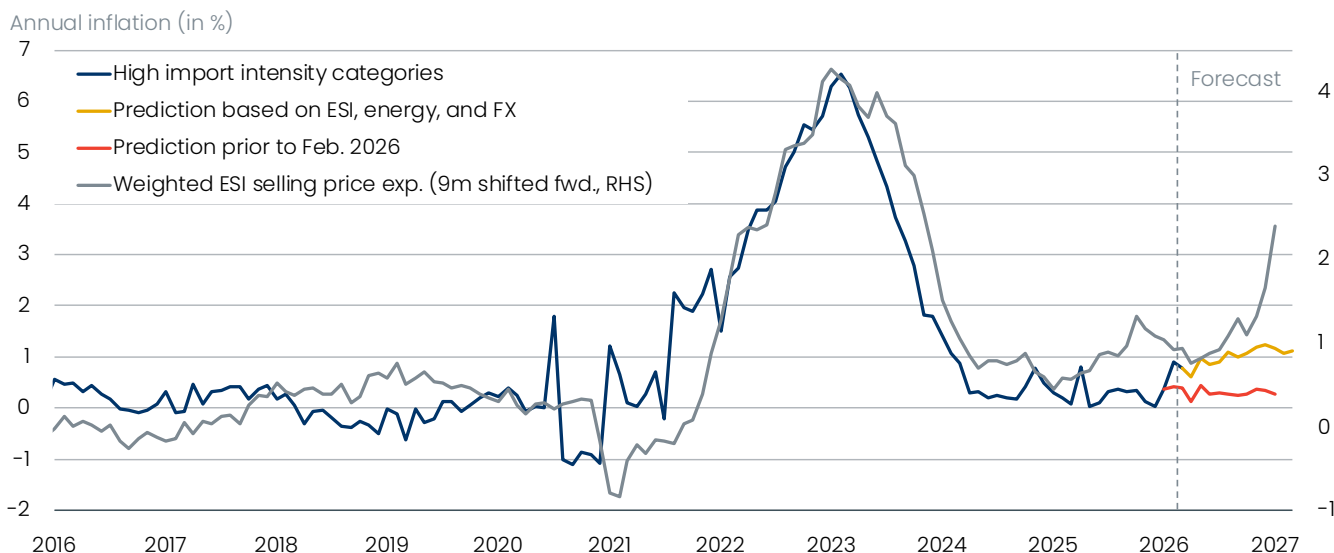
Prices of a range of goods are more sensitive to global developments because they feature a larger imported component. To quantify the possible scope of supply shock pass-through, we develop a measure of high import-intensity inflation (see [Technical Appendix](#)).

We define high import intensity categories as those where at least 30% of final demand originates from extra-euro area imports (excluding food and energy). This includes mostly consumer goods and personal-use items such as clothing and footwear, household appliances, furniture, and consumer electronics, but also goods associated with healthcare and transport. Together, these categories account for roughly a quarter of the HICP consumption basket in our modelling. Services tend to have much lower import intensity given their higher domestic labour content and are therefore excluded from this category. Because high import intensity goods are predominantly tradeable products, they serve as a direct transmission channel for external cost shocks, whether from exchange rate moves, global freight costs, or commodity-driven input prices.

Our modelling supports the view that pass-through from these channels is accelerating. An inflation index of the goods categories with the highest import intensity shows that inflation has come down markedly since supply bottlenecks pushed it up to 4.0% in 2022 and 4.4% in 2023. However, inflation in these categories remained subdued until recently, averaging just 0.5% in 2024 and 0.2% in 2025. We now expect a modest acceleration over the remainder of this year, driven by rising input costs, a weaker euro, and higher transport costs. We forecast inflation in import-intensive goods to average 0.9% in 2026, 0.6ppts higher than our February modelling suggested ([Chart 2](#)). Despite the pronounced rise in selling price expectations recently, our forecast foresees a more moderate inflationary impact as energy prices gradually ease over the coming quarters. While this marks a shift from the benign conditions of the past two years, it remains mild relative to the 2022–2023 energy crisis.

Chart 2: Leading indicators and our modelling suggest an increase in imported inflation

Eurozone: Inflation of high import intensity categories



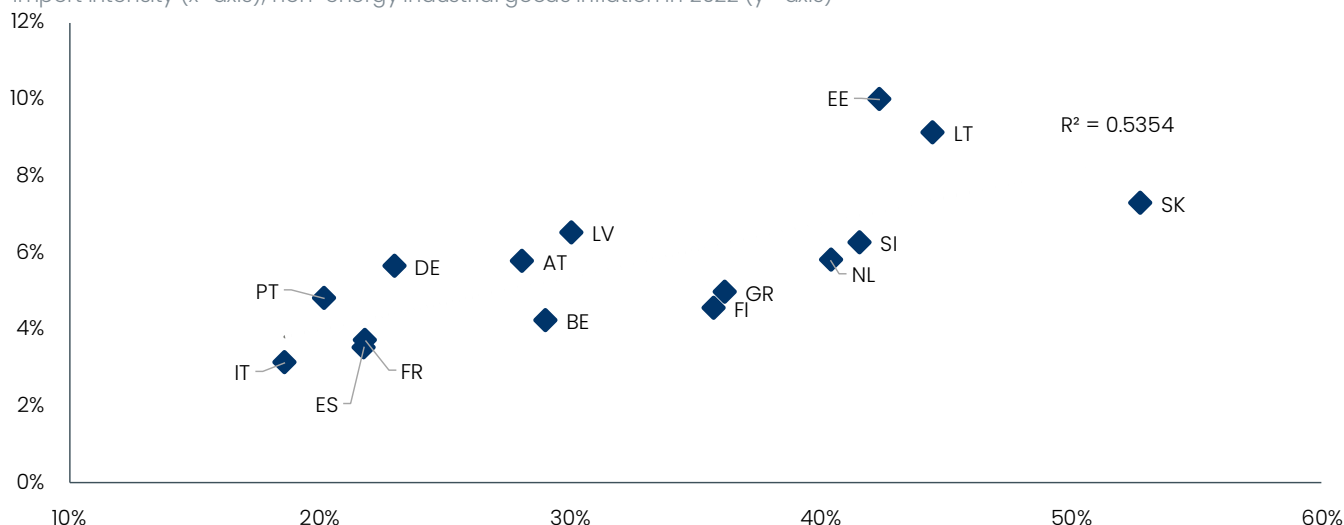
Sources: Oxford Economics, Haver Analytics

The impact will be uneven across Eurozone economies, as both category shares in consumption baskets and import intensity vary. We calculate import intensity from imports outside the Eurozone and find that countries with a higher import share did experience higher inflation in the past ([Chart 3](#)). Consequently, we expect import-intensive sectors to again push up inflation in countries such as the Netherlands, CEE, and the Baltics. This uneven impact could cloud the ECB's assessment.

Chart 3: Smaller countries exhibit higher import intensity and are more prone to inflationary shocks

Eurozone: Import intensity based on ex-EZ trade

Import intensity (x-axis); non-energy industrial goods inflation in 2022 (y-axis)



Sources: Oxford Economics, Haver Analytics

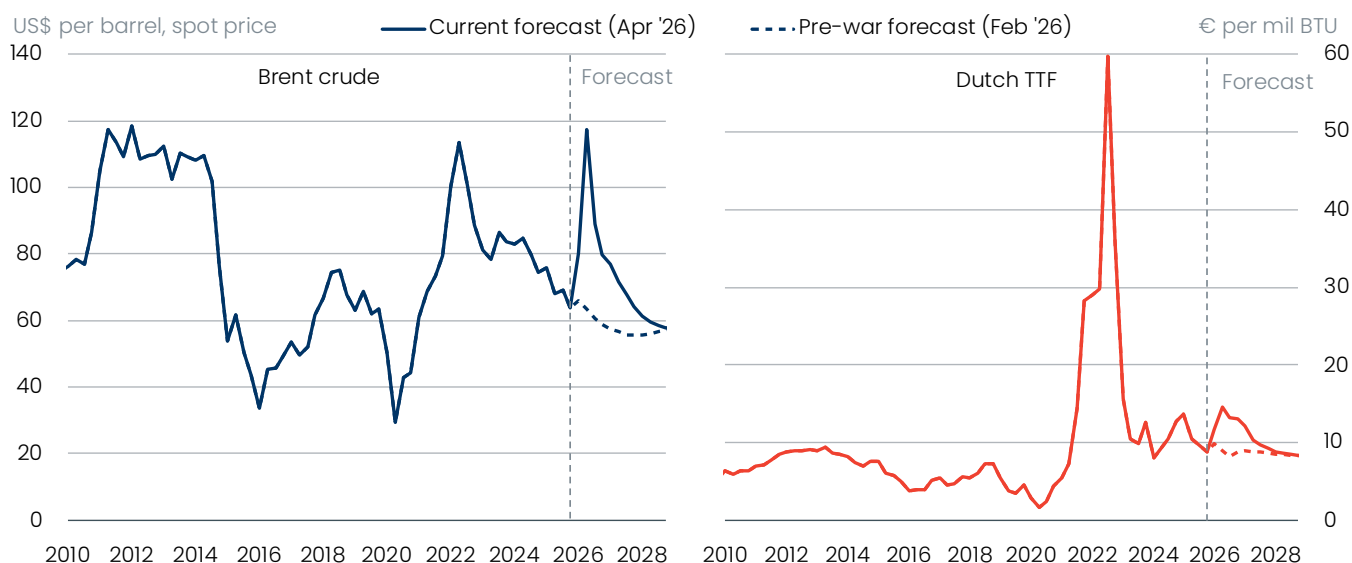
Early warning signs are flashing red, but this isn't a replay of 2020 or 2022

There's little data so far on the price impact beyond the spike in fuel prices. Longer-term contracts, complex supply chains, and uncertainty all mean the pass-through of the commodity price shock cascades through import and producer prices, with the final impact on consumer prices landing after a six to 12-month lag.

Crude oil [attracts the most attention](#) as a key energy source and an input into many industrial processes. Conditions are [more benign for natural gas](#), with prices easing due to demand destruction and fuel switching in Asia ([Chart 4](#)). But the shock is not [limited to energy commodities](#) – fertilisers, energy-intensive metals like aluminium, and more [niche commodities like helium](#) have all seen supply cut and prices surge due to the conflict.

Chart 4: Energy commodity prices have spiked and will decline only gradually

Global: Oil and natural gas prices



Sources: Oxford Economics, Haver Analytics

We expect some supply chain disruptions in the coming months, though not anywhere near the carnage seen during the pandemic. Shipping lanes through the Red Sea haven't been disrupted, and container rates have risen only modestly. However, March and April manufacturing PMI data showed a [broad-based increase](#) in supplier delivery times. If more widespread global fuel shortages develop, this could exacerbate the supply shortages.

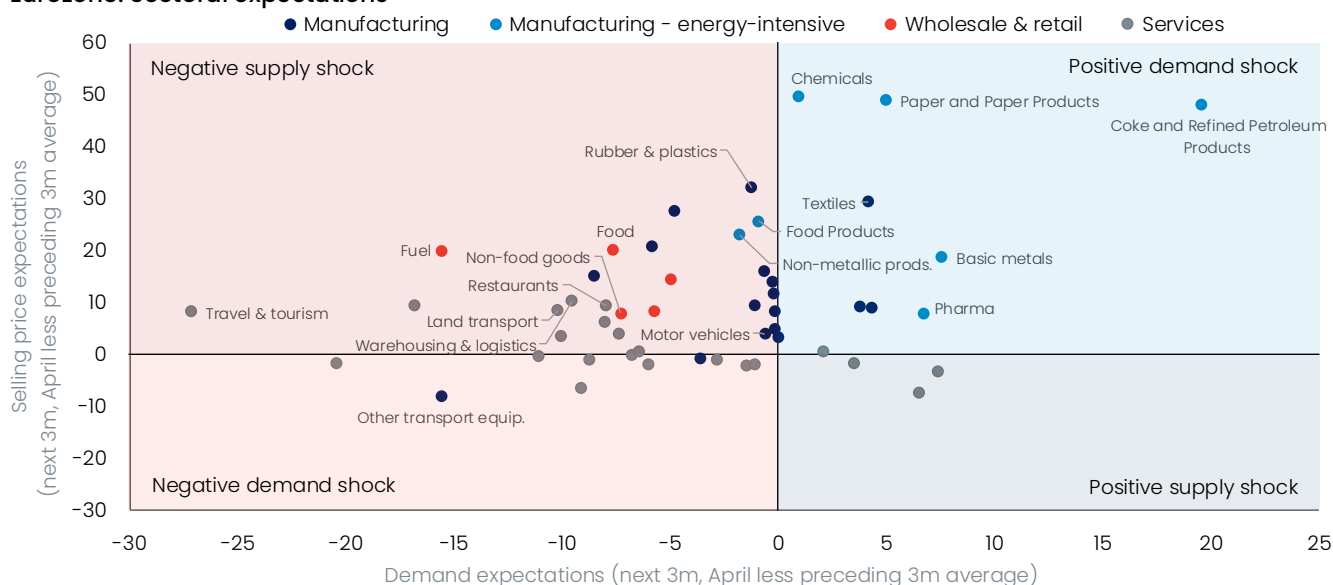
The euro has reversed some of last year's gains after markets sold it off because of greater exposure to Middle East commodity exports. This exacerbates the issue of higher commodity prices and imported goods. A de-escalation of the Middle East conflict and the prospect of higher ECB interest rates should support the euro over the coming months before it returns to our previous baseline view of 1.18 in 2027.

All of these global pressures are starting to show up in domestic data, too. Attention was mostly focused on energy prices in March and April inflation data, and for good reason – it was too early to show any significant pass-through into other segments, perhaps with the exception of air travel, where jet fuel prices have surged.

However, forward-looking surveys paint a less rosy picture. Firms' price expectations have risen across the board since February, but the spike was most pronounced in manufacturing and construction – sectors more exposed to energy and import prices. This trend is also visible in granular manufacturing data, with the largest spikes in selling price expectations seen in refining and upstream, energy-intensive sectors like plastics, building materials, basic metals, and chemicals ([Chart 5](#)). Firms in most sector view the current situation as a negative supply shock, expecting lower output and higher selling prices. [March](#) and [April PMIs](#) echoed this, reporting a record monthly increase in input price pressures in manufacturing, though the increase in output prices was milder.

Chart 5: Selling price expectations have shot up across manufacturing sectors

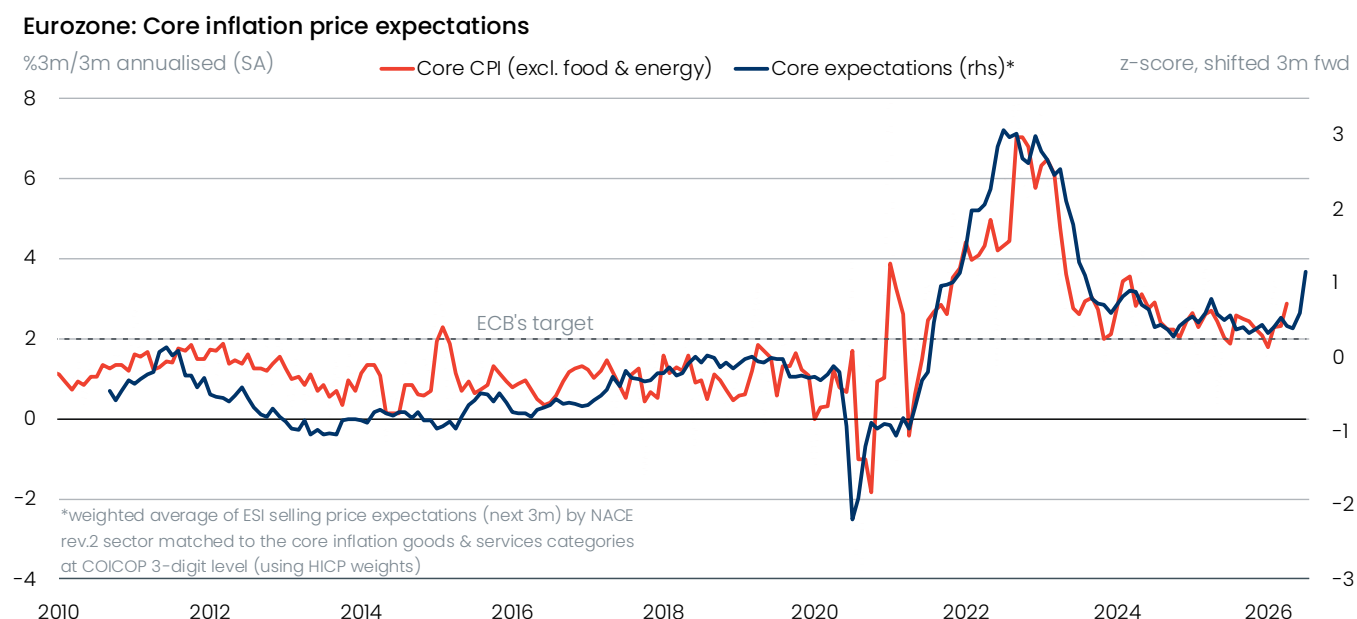
Eurozone: Sectoral expectations



Sources: Oxford Economics, Haver Analytics

The pass-through into core inflation expectations has been relatively modest so far, with core inflation at 2.2% in April, though with a more noticeable spike in monthly momentum. Our granular leading indicator points to a more substantial pickup in core inflation, driven by core goods ([Chart 6](#)). We think firms' selling price expectations might be overreacting, scarred by the recent supply shocks and aiming to build a buffer, but this is a clear upside risk to our inflation forecast. But this is still early days – pass-through into core goods and particularly services takes time to materialise, especially if the initial shock prompts workers to demand higher wages.

Chart 6: Firms' selling price expectations for core goods and services have spiked as well

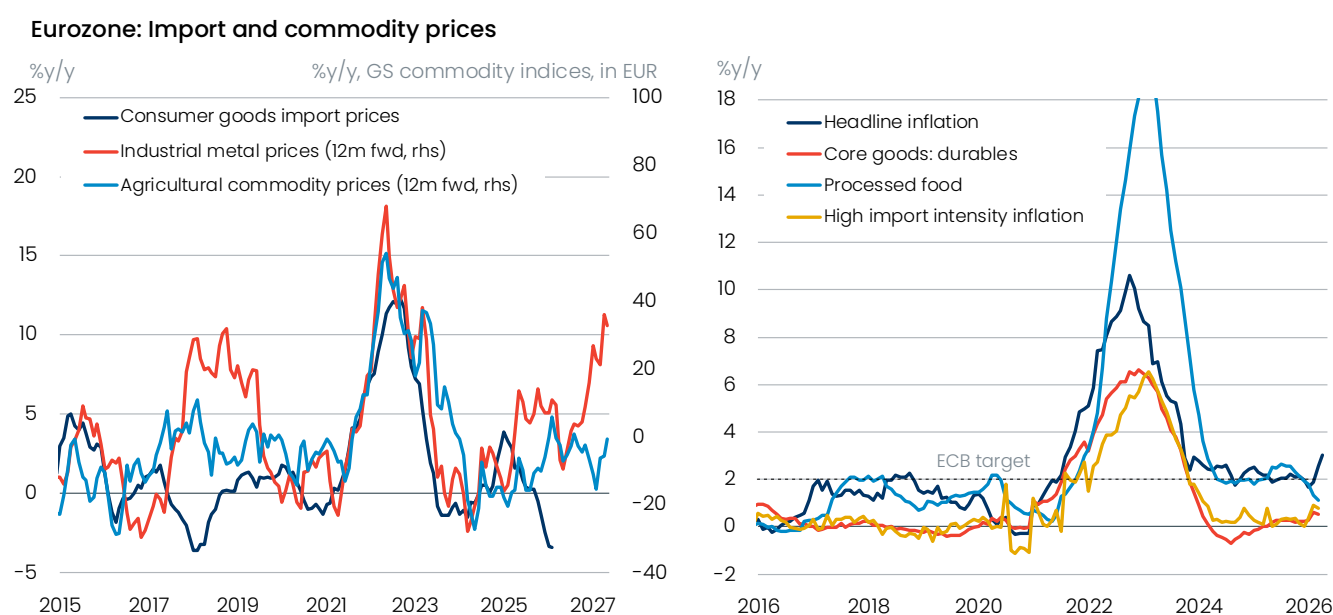


Sources: Oxford Economics, Haver Analytics

Benign starting conditions and soft demand will provide a small offset

The supply shock arrives against a relatively benign inflation backdrop, with headline inflation below 2% in February. This was even more the case for import-intensive components – core goods inflation has been below 1% since early 2024, with a brief deflationary period for durables. Energy prices have also fallen steadily as the 2022 energy shock gradually unwound. Unprocessed food was the only import-intensive category with sustained inflationary pressures, though this was offset by easing processed food prices. Soft price pressures extended into the upstream sectors as well, with imported goods' prices sliding deeper into deflation since 2025 (Chart 7).

Chart 7: Inflationary backdrop was moderate prior to the Iran war



Sources: Oxford Economics, Haver Analytics

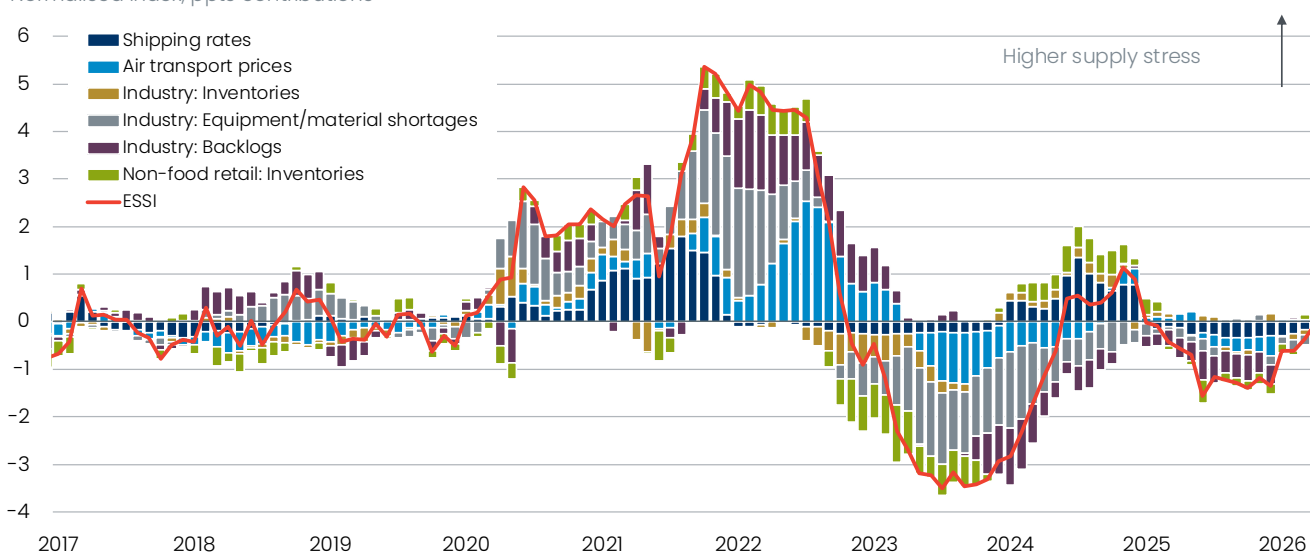
In short, the soft initial inflationary backdrop should cushion the supply shock to some extent. This is another key contrast with the 2022 energy crisis, when inflation was already rising, rocked by the major shifts in consumer demand caused by the pandemic.

Prior to the conflict, two key forces were shaping the global supply backdrop: higher [US tariffs](#) and [China's production overcapacity](#) and associated [export surge](#). Although US tariffs have not derailed supply chains and hit prices substantially, particularly as the EU has not retaliated, their effects are still playing out. The [China 2.0 shock](#), however, already dragged goods' prices down last year. Our Eurozone Supply Stress Indicators (ESSI, see [Technical Appendix](#)) show supply chain pressures rose to roughly in line with historical average in April, following a steady increase since January across components, though this is a better starting position than in 2022 ([Chart 8](#)).

Chart 8: The Iran war shock is arriving while the supply backdrop is benign

Eurozone: Supply Stress Indicator

Normalised index, ppts contributions



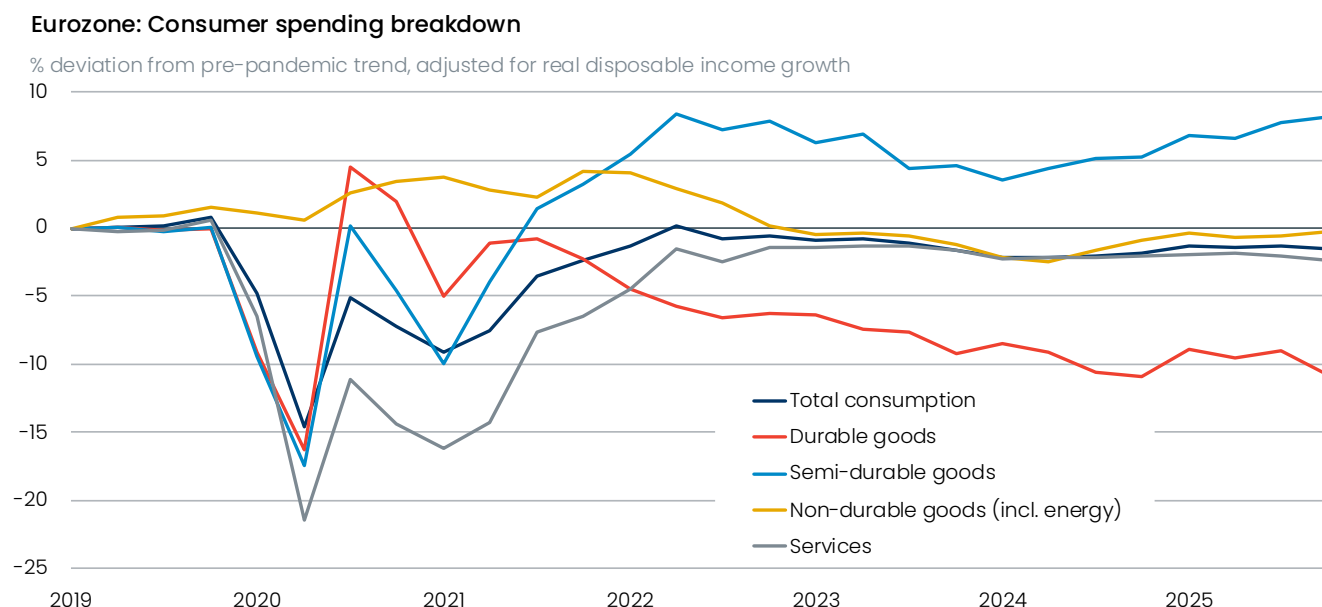
Sources: Oxford Economics, Haver Analytics

Finally, although both consumer spending and investment have been relatively resilient in the Eurozone, demand growth has been subdued. This relatively soft demand backdrop, particularly for goods, provides some extra cushion against a strong passthrough of imported inflation. But there's a caveat – entering the shock, the Eurozone labour market [is relatively tight](#) and with solid, albeit slowing, nominal wage growth. Taken together, modest supply pressures, subdued demand growth and a mostly benign inflation picture up to February should help to cushion the domestic impact of the supply shock, but won't offset it completely.

How will firms and the ECB respond to supply pressures?

Our models are estimated on historical data, but we see no reason to believe the current circumstances might change the scale of the pass-through. As above, the shock comes against a relatively benign inflation backdrop but also arrives amid soft demand growth and narrow margins. Regarding demand, the commodity shock will [curb consumer demand further](#) by denting households' purchasing power and increasing uncertainty, which might lead to higher precautionary savings. Crucially, consumer demand was already softer for durable and non-durable goods, which will be affected more by the shock ([Chart 9](#)).

Chart 9: Eurozone consumer demand is soft particularly for durable goods



Sources: Oxford Economics, Haver Analytics

In this environment, firms might be tempted to limit the pass-through. However, corporate margins are already strained after years of catch-up in nominal wages, low productivity growth, and growing competition from abroad, particularly China. As such, we see some risk of either higher passthrough or, more likely, [firms reducing staffing levels](#) to cut labour costs.

However, the ECB puts greater emphasis on the upside risks to inflation over the downside risks to growth. As expected, the ECB stayed put in April, but we still expect [two hikes in June and July](#) in our baseline, conditional on whether inflation stays concentrated in volatile energy prices or spreads via second-round effects. The March meeting minutes indicate the ECB will tolerate energy-driven inflation to a degree, but will respond more forcefully to broader embedded price pressures. The minutes also acknowledge that a weaker exchange rate could drive inflation up, turning the import-price channel inflationary for high import-content categories, with our modelling suggesting that this headwind should persist.

Despite the recent rise, we expect inflation expectations to [remain anchored over longer horizons](#), helped by the anticipated normalisation of energy prices and the hawkish signals from the ECB that tighten financial conditions. Although Middle East peace talks are still in play, the risk is tilting towards more tightening as upside risks to energy prices with associated second round effects dominate. The ECB's triggers for hikes remain a broadening of inflationary pressures via stronger pass-through or rising medium-term inflation expectations.

Box 1: Technical appendix

Eurozone Supply Stress Indicator (ESSI)

Our Eurozone Supply Stress Indicator (ESSI) allows us to assess the severity of global supply shocks for the Eurozone economy, rather than using other global measures of supply stress. We follow the methodology of the Federal Reserve Bank of New York's [Global Supply Chain Pressure Index](#) (GSCPI), described in [Akinci et al \(2022\)](#), but make several key alterations to adapt it to the Eurozone.

We use six measures to construct the ESSI. On the global linkage side, we include container shipping rates on Eurozone-relevant routes and the cost of air transport. On the domestic production side, we include a measure of backlogs, inventories, and input and equipment shortages for the manufacturing sector, and inventories for the non-food goods retail sector.

We detrend all non-stationary series using either annual growth rates (prices) or annual differences (survey data). All measures included in our supply stress index can move in response to both supply and demand shocks. To remove demand shocks from the final index, we regress each series individually on contemporaneous and lagged sectoral new orders, as a proxy for demand:

$$x_t = c + \sum_{i=t}^{t-2} \text{NewOrders}_t^s + \varepsilon_t$$

Once adjusted for the supply-induced movements, we use a multivariate filter to estimate the missing observations (the so-called "jagged edges") at the end of the sample, which arise due to asynchronous data releases, and extract a common factor from our six series following [Stock and Watson \(2002\)](#). The ESSI is then this common underlying factor that summarises the co-movement of our six measures:

$$ESSI_t = \Lambda F_t + \varepsilon_t$$

$$F_t = \Gamma X_t + \kappa_t \mid X_{t+1} = c + B(L)X_{t-k} + \varepsilon_t$$

where X denotes a vector of the component series, F the common factor, and Γ is a matrix of factor loadings.

The ESSI is normalised, meaning it has a long-term average of 0, and its values represent supply stress expressed in standard deviations – for example, a reading of 1.2 suggests positive (or adverse) supply stress 1.2 standard deviations above normal. Because of missing observations and data revisions, the index value in the most recent months can be revised.

Inflation import intensity based on input-output modelling

We calculate sectoral import intensity using the European Commission's FIGARO multi-country input-output tables by measuring, for each sector, the share of final demand met by imports, including all direct and indirect input linkages. For euro area countries, we exclude intra-euro area trade from the import calculation to focus solely on extra-euro area dependencies. The technical framework involves constructing the input coefficient matrix, computing the Leontief inverse, and applying import coefficients to quantify the import content of sectoral demand.

To assess the inflationary impact, we map NACE Rev.2 sectors to COICOP categories, which align with the structure of the Harmonised Index of Consumer Prices (HICP). We then use sectoral HICP weights to compile an inflation index for high-import-intensity sectors, defined as those with import intensity of 30% or above, providing insight into how external shocks transmit through internationally exposed components of the consumption basket.

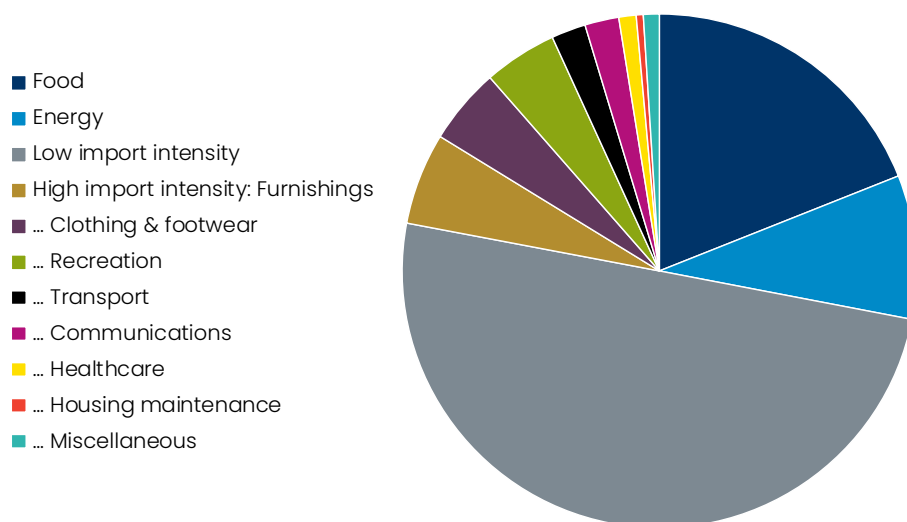
According to our analysis, high-import-intensity goods mostly capture manufactured items with substantial foreign value-added content such as household items, clothing, electronics, and transport equipment (**Chart 10**). This breakdown allows us to track how much headline inflation at any given point originates from import-exposed categories versus domestically driven components, outside food, and energy prices.

To forecast inflation in high-import-intensity goods, we estimate a SARIMAX model with six autoregressive lags and a seasonal term at lag 12 to capture base effects. Exogenous regressors include Brent crude prices, the euro-dollar exchange rate, the Economic Sentiment Indicator, and import prices, alongside monthly dummies and a pandemic control.

Key limitations of our analysis include using static 2023 input-output coefficients, which may not fully reflect subsequent supply chain adjustments, and the inherent approximations involved in mapping production-side NACE codes to consumption-side COICOP categories.

Chart 10: Import intensive categories account for nearly a quarter of the consumption basket

Eurozone: Inflation basket breakdown



Sources: Oxford Economics, Haver Analytics